

Misleading Artifices in the Income Account. Earnings of Subsidiaries

Flagrant Example of Padded Income Account. On comparatively rare occasions, managements resort to padding their income account by including items in earnings that have no real existence. Perhaps the most flagrant instance of this kind that has come to our knowledge occurred in the 1929–1930 reports of Park and Tilford, Inc., an enterprise with shares listed on the New York Stock Exchange. For these years the company reported net income as follows:

1929—\$1,001,130 = \$4.72 per share.

1930— 124,563 = 0.57 per share.

An examination of the balance sheets discloses that during these two years the item of Good-will and Trade-marks was written up successively from \$1,000,000 to \$1,600,000 and then to \$2,000,000, and these increases *deducted* from the expenses for the period. The extraordinary character of the bookkeeping employed will be apparent from a study of the condensed balance sheets as of three dates, shown on the next page.

These figures show a reduction of \$1,600,000 in net current assets in 15 months, or \$1,000,000 more than the cash dividends paid. This shrinkage was concealed by a \$1,000,000 write-up of Good-will and Trade-marks. No statement relating to these amazing entries was vouchsafed to the stockholders in the annual reports or to the New York Stock Exchange in subsequent listing applications. In answer to an individual inquiry, however, the company stated that these additions to Good-will and Trade-marks represented expenditures for advertising and other sales efforts to develop the business of Tintex Company, Inc., a subsidiary.¹

¹ In the 1930 report the wording in the balance sheet was changed from “Good-will and Trade-marks” to “Tintex Good-will and Trade-marks.” In 1939 the Good-will item was written off, and the \$1,000,000 write-up of 1929–1930 deducted from earned surplus.